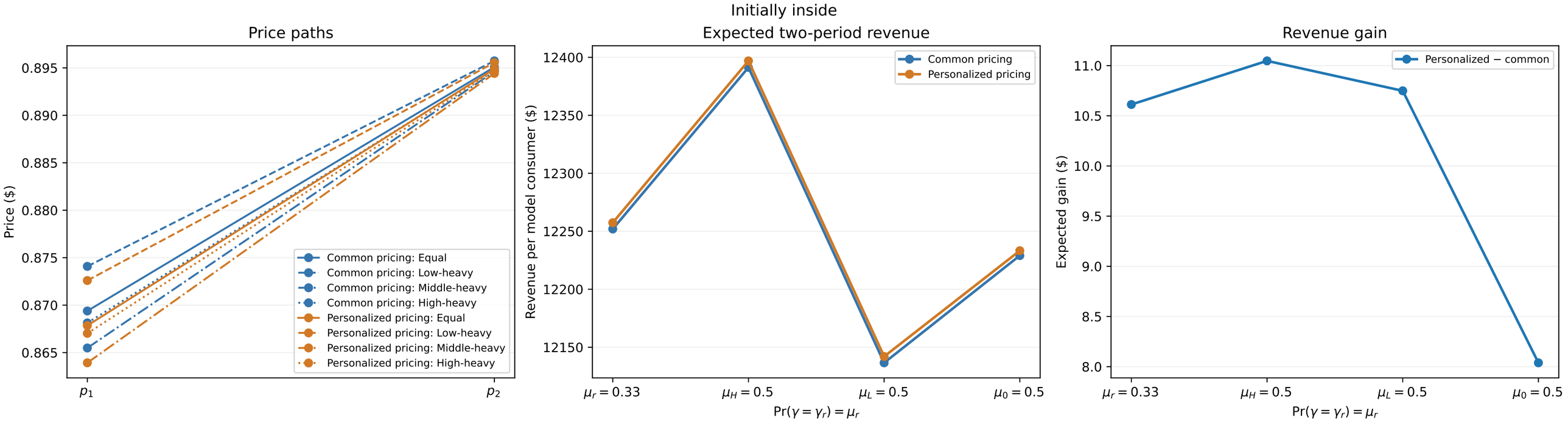
Initially inside
Price paths
Price ($)
0.895
0.890
0.885
0.880
0.875
0.870
0.865
p_1
p_2
Common pricing: Equal
Common pricing: Low-heavy
Common pricing: Middle-heavy
Common pricing: High-heavy
Personalized pricing: Equal
Personalized pricing: Low-heavy
Personalized pricing: Middle-heavy
Personalized pricing: High-heavy
Expected two-period revenue
Revenue per model consumer ($)
12400
12350
12300
12250
12200
12150
Common pricing
Personalized pricing
$\mu_r = 0.33$
$\mu_H = 0.5$
$\mu_L = 0.5$
$\mu_0 = 0.5$
$\Pr(\gamma = \gamma_r) = \mu_r$
Revenue gain
Expected gain ($)
11.0
10.5
10.0
9.5
9.0
8.5
8.0
Personalized − common
$\mu_r = 0.33$
$\mu_H = 0.5$
$\mu_L = 0.5$
$\mu_0 = 0.5$
$\Pr(\gamma = \gamma_r) = \mu_r$